STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Craig Nenke
Of

3 Crompton Court

CAULFIELD SOUTH VIC 3162

Prepared on:

29th September 2025

By your Adviser:

***Andrew Lord** B Bus (Acc.), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

29/0/9/2025

Mr Craig Nenke
3 Crompton Court
CAULFIELD SOUTH VIC 3162

Dear Craig,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc.), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Retirement Planning
- Superannuation
- Transition to Retirement
- Superannuation Contributions

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Craig, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Take advantage of current superannuation legislation especially tax-free income from age 60, and therefore seek advice on ways to transition monies from outside superannuation into the super environment.
- Review your superannuation contribution strategies with the aim of increasing your retirement savings in a tax effective manner.
- Review your superannuation portfolio.
- Minimise your tax commitments.

Recommendation Overview

Considering your stated goals and objectives, investor risk profile and age we recommend that you:

- Craig, commence a pre-retirement pension with **$500,000** via a partial rollover from your Colonial First State FirstChoice Personal Super to the recommended pension platform. (See Colonial Wholesale Pension investment recommendation section). Your Colonial First State FirstChoice Personal Super fund will remain open with the remaining **$126,000** to accept future contributions.
- Craig, draw down an income stream of **$20,000** per annum ($1,666 per month).
- Craig, make personal concessional contributions **$30,000 per annum** ($2,500 per month) to your Colonial First State FirstChoice Personal Super Fund.
- Invest your funds in line with your Investor Risk Profile which is in line with that of a ‘Balanced’ portfolio.

Anticipated Outcomes

Following our recommendations, we anticipate that:

- Your cash flow we anticipate will remain unchanged.
- Your total superannuation benefit after the first year will be around **$5,500** higher than if you did nothing other than continued on as you are. We would expect a similar result each year until retirement. This is without taking into consideration any non-concessional contributions that may be made from year to year.
- Craig, once you commence the recommended Transition to Retirement (TTR) strategy, we estimate that this will result in a tax saving of approximately **$6,150** per annum.
- Your capital is invested inside the superannuation environment consistent with your current investor risk profile.
- You have re-structured your superannuation assets and increased the tax effectiveness of your retirement benefits upon commencement of an income stream.
- You have increased your superannuation contributions to build a capital base to meet your retirement income goals.

Future Strategies

- To annually review superannuation contributions, investment performance and cash flow requirements. We will aim to meet in May each year to review.
- Closer to retirement we will provide you with recommendations and advice relating to the retirement stage of your financial plan.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Craig
Surname	Nenke
Gender	M
Date of Birth	13/09/1965
Age Last Birthday	60

Superannuation Assets

Superannuation Assets	
Colonial First State FirstChoice Personal Super	$626,795
Total Superannuation Assets	**$626,795**

Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Income	$150,000			
Deductions				
Current personal concessional contributions		$0		
TAXABLE INCOME			**$150,000**	
TAX PAYABLE				**$36,838**
Medicare Levy				$3,000
Low Income Tax Offset				($0)
NET TAX				**$39,838**

Current Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
Income	$150,000
Sub Total	**$150,000**
Less Income Tax	$39,838
Net Income	**$110,162**
Less Budgeted Expenditure	$110,162
Income Surplus	**$0**

You have provided us with the above figures in the table. If the estimated Cash Flow Surplus may be over or understated please notify us if this is the case.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Craig, based on the make-up of your current portfolio you have a '**Balanced**' investor risk profile with respect to investments *within superannuation*.

- A **Balanced** investor places greater emphasis on capital appreciation with current income and asset preservation being a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **Balanced** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Balanced**' investor will typically diversify their investment in the following manner:

Australian Shares	27%
International Shares	29%
Fixed Interest	26%
Property	12%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares, Index Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2025-26

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	16c for each $1 over $18,200
$45,001 – $135,000	$4,288 plus 30c for each $1 over $45,000
$135,001 – $190,000	$31,288 plus 37c for each $1 over $135,000
$190,001 and over	$51,638 plus 45c for each $1 over $190,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only
From 1 July 2022	$27,500	**$27,500****			SGC only
From 1 July 2024	$30,000	**$30,000****			SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

** From 1/07/2022, work test requirements were removed for all contributions, except personal tax-deductible contributions.

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute
From 1 July 2024	$120,000 p.a.	May bring forward two years of contributions to make a $360,000 contribution in one financial year		Cannot contribute

Transition to Retirement

The aim of a 'Transition to Retirement' strategy is to utilise current legislation to increase superannuation contributions whilst remaining cash flow neutral.

Current legislation allows you (as you have reached preservation age) to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free.

The minimum pension amount that you can draw is 4% of your account balance per annum whilst the maximum pension is 10% and is re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation in the form of salary sacrifice. Salary sacrifice contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessionally taxed at a maximum of 15% as opposed to marginal tax rates of up to 47%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

Craig Nenke	Current Position	Transition to Retirement Pension and making salary sacrifice contributions (same cash flow)
INCOME EFFECT		
Taxable Income (after salary sacrifice)	$150,000	$120,000
Pension	$0	$20,000
Gross Income	$150,000	$140,000
Total Tax	-$39,838	-$29,188
Net Income	**$110,162**	**$110,812**
SUPERANNUATION EFFECT		
Gross Contribution	$0	$30,000
Tax on Contribution (15%)	-$0	-$4,500
Net Contribution	$0	$25,500
Pension Paid	0	-$20,000
Overall impact on superannuation account	**+$0**	**+ $5,500**
TAX EFFECT		
Income Tax	-$39,838	-$29,188
Contribution Tax (15%)	-$0	-$4,500
Total Tax	**-$39,838**	**-$33,688**

Pre-Retirement Income Stream

Recommendations:

- Craig, commence a pre-retirement pension with **$500,000** via a partial rollover from your Colonial First State FirstChoice Personal Super to the recommended pension platform. (See Colonial Wholesale Pension investment recommendation section). Your Colonial First State FirstChoice Personal Super fund will remain open with the remaining **$126,000** to accept future contributions.
- Craig, draw down an income stream of **$20,000** per annum ($1,666 per month).
- This pension income is to be used to supplement your income that you will contribute to super.
- By commencing an income stream you are increasing your income in a tax effective manner and therefore allowing you to commence a salary sacrifice arrangement.
- There is an immediate income tax benefit on withdrawal and re-contribution, as a result of this strategy.
- The income from an income stream is tax effective income, in that you will receive such benefits as:
    - A deductible amount for tax purposes – which reduces your taxable income.
    - Ability to draw down income from the pension tax free.

Risks:

- Your income stream capital is subject to market performance fluctuations which may have a flow on effect to your income received.

Personal Concessional Contributions to Superannuation

Recommendation:

- Craig, make personal concessional contributions of **$30,000 per annum** ($2,500 per month) to your Colonial First State FirstChoice Personal Super Fund.

Benefits:

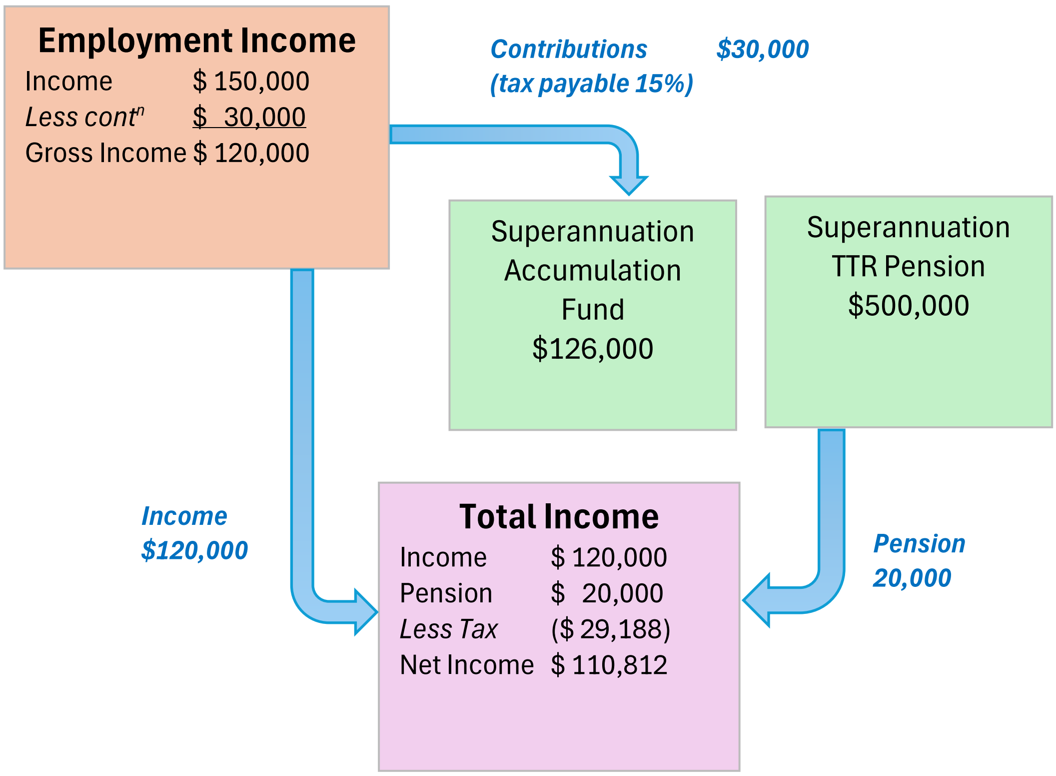
- Personal contributions will result in a reduction in taxable income for the contributions that you make.
- Craig, your personal concessional contributions will be taxed at a maximum of 15% compared to 39% if taken as income.
- **The total tax saving for a full financial year is estimated to be $6,150.**
- **You have increased your NET superannuation contributions by $5,500 p.a. to build a capital base to meet your retirement income goals.**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Full Financial Year

Transition-to-Retirement (TTR) Strategy



Income Tax & Cash Flow Projections Post Recommendation

Proposed Estimated Tax Liability (full financial year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Income	$150,000			
Deductions				
Personal concessional contributions		$30,000		
TAXABLE INCOME			**$120,000**	
TAX PAYABLE				**$26,788**
Medicare Levy				$2,400
Low Income Tax Offset				($0)
NET TAX				**$29,188**

Proposed Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
Income	$150,000
Pension Income Stream	$ 20,000
Sub Total	**$170,000**
Less Income Tax	$29,188
Less Super Contributions	$30,000
Net Income	**$110,812**
Less Budgeted Expenditure	$110,162
Income Surplus	**$650**

Superannuation Funds

Recommendations:

- Craig, commence a pre-retirement pension with **$500,000** via a partial rollover from your Colonial First State FirstChoice Personal Super to the recommended pension platform. (See Colonial Wholesale Pension investment recommendation section). Your Colonial First State FirstChoice Personal Super fund will remain open with the remaining **$126,000** to accept future contributions.
- Craig, draw down an income stream of **$20,000** per annum ($1,666 per month).
- Craig, make personal concessional contributions **$30,000 per annum** ($2,500 per month) to your Colonial First State FirstChoice Personal Super Fund.
- Invest your funds in line with your Investor Risk Profile which is in line with that of a 'Balanced' portfolio.

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your superannuation benefits will be invested under a cost-effective investment platform that provides all the characteristics you will need approaching retirement.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State pre-retirement pension would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

Craig

Colonial First State Wholesale Pre-Retirement Pension – 'Balanced' portfolio

	% of portfolio
RQI TTR Australian Value	11.00%
Fidelity TTR Australian Equities	11.00%
First Sentier TTR Australian Small Companies	5.00%
CFS TTR Index Global Share	13.00%
RQI TTR Global Value	12.00%
Bell TTR Global Emerging Companies	4.00%
CFS TTR Property Securities	6.00%
ClearBridge RARE TTR Infrastructure Value	6.00%
CFS TTR Index Australian Bond	12.00%
Perpetual TTR Diversified Income	16.00%
FirstRate TTR Saver	4.00%
	100.00%

Performance of the proposed Colonial First State (CFS) Pre-Retirement Pension fund invested with a 'Balanced' Asset Allocation at 31 August 2025:

Colonial Wholesale Pre-Retirement Pension Fund: Proposed Balanced Portfolio				
	% of portfolio	**1 year**	**3 years**	**5 years**
RQI TTR Australian Value	11.00%	17.71%	14.27%	14.77%
Fidelity TTR Australian Equities	11.00%	12.56%	9.75%	10.45%
First Sentier TTR Australian Small Companies	5.00%	16.46%	9.30%	10.76%
CFS TTR Index Global Share	13.00%	17.70%	17.21%	13.41%
RQI TTR Global Value	12.00%	19.42%	18.74%	16.70%
Bell TTR Global Emerging Companies	4.00%	7.02%	9.68%	8.61%
CFS TTR Property Securities	6.00%	13.05%	12.65%	10.75%
ClearBridge RARE TTR Infrastructure Value	6.00%	7.73%	3.97%	6.39%
CFS TTR Index Australian Bond	12.00%	3.68%	3.05%	-0.28%
Perpetual TTR Diversified Income	16.00%	5.26%	5.55%	3.57%
FirstRate TTR Saver	4.00%	4.60%	4.37%	2.66%
	100%	**11.78%**	**10.41%**	**9.08%**

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A wide range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - ***A 0.60% p.a. Adviser Service Fee will apply to the new Allocated Pension fund.***
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Craig

Colonial FirstChoice Wholesale Pre-Retirement Pension	MER %	Amount invested ❶ $	Estimated fee $
RQI TTR Australian Value	0.65%	$55,000	$358
Fidelity TTR Australian Equities	1.10%	$55,000	$605
First Sentier TTR Australian Small Companies	1.15%	$25,000	$288
CFS TTR Index Global Share	0.37%	$65,000	$241
RQI TTR Global Value	0.76%	$60,000	$456
Bell TTR Global Emerging Companies	1.66%	$20,000	$332
CFS TTR Property Securities	0.96%	$30,000	$288
ClearBridge RARE TTR Infrastructure Value	1.20%	$30,000	$360
CFS TTR Index Australian Bond	0.35%	$60,000	$210
Perpetual TTR Diversified Income	0.95%	$80,000	$760
FirstRate TTR Saver	0.53%	$20,000	$106
Total ongoing fees❶	**0.80%**	**$500,000**	**$4,003**

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that these fees are built into the unit prices and are reflected within the performance figures of the fund. They are not transactions that are deducted from your account.

What is paid to your adviser

Plan Fee

There is no plan fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	($)	Initial (%)	Initial ($)	Ongoing (%)	Ongoing ($)
Colonial FirstChoice Wholesale Transition-to-Retirement Pension	$500,000	Flat Fee	Nil	Flat Fee	Nil	0.60% p.a.	$3,000 p.a.
Total	**$500,000**		**Nil**		**Nil**		**$3,000 p.a.**

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc.) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.